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THE JAPAN BUSINESS ASSOCIATION IN VIETNAM

No: 06/2018JBAV

Ref: Draft Decree on penalties for administrative violations against scientific & technology activities and technology transfer

SOCIALIST REPUBLIC OF VIETNAM

Independence –Freedom- Happiness

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Hanoi, 26th February 2018

Respectfully to: Ministry of Science & Technology

First of all, the Japan Business Association in Vietnam ("JBAV") would like to express our sincere thanks to the Ministry of Science & Technology ("MOST") for openning the consultation on ***"Draft Decree on penalties for administrative violations against scientific & technology activities and technology transfer"*** (hereinafter referred to as the *"Draft Decree"*).

After researching and comparing with the practice of our members, we have some concerns as follows:

Article 23.4 under the Draft Decree regulates **Violations in making and performing technology transfer contracts, technology transfer service contracts, technology contents in contracts and investment project dossiers**:

"4. A fine from VND 25,000,000 to VND 35,000,000 shall be imposed on individuals; a fine from VND 50,000,000 to VND 70,000,000 shall be imposed on organizations committing one of the following acts:

a) No operation of audit technology transfer price when transferring technology between the parties among which one or both parties have state capital;

b) No operation of audit technology transfer price when transferring technology between parties having parent company – subsidiary company relationship;

c) No operation of audit technology transfer price when transferring technology between associated parties as prescribed under tax laws."

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To avoid the understanding that audit of technology transfer price shall be conducted before transferring technology, **we propose to amend clearly the Article 23.4 as follows:**

"4. A fine from VND 25,000,000 to VND 35,000,000 shall be imposed on individuals; a fine from VND 50,000,000 to VND 70,000,000 shall be imposed on organizations committing one of the following acts:

*a) No operation of audit technology transfer price **after** transferring technology between the parties among which one or both parties have state capital;*

*b) No operation of audit technology transfer price **after** transferring technology between parties having parent company – subsidiary company relationship;*

*c) No operation of audit technology transfer price **after** transferring technology between associated parties as prescribed under tax laws."*

Besides, the violated acts should be in consistency with binding obligations of enterprises under Technology Transfer Law and Decree guiding Technology Transfer Law. However, until now, competent authority has not yet issued detailed guidance on audit of technology transfer price under Technology Transfer Law and Decree guiding Technology Transfer Law. Therefore, we would like MOST to kindly **give detailed guidance: Which authority is competent authority to audit price of technology transfer; scope and purpose of tax audit regarding technology transfer and time to conduct audit under *Draft Decree guiding Technology Transfer Law*** to ensure basis for competent authority to issue penalty regulations in consistency with obligations of enterprises, as well as help enterprises have basis to comply with the laws.

We would like MOST to hold a seminar or direct meeting with members of JBAV regarding ***"Draft Decree on penalties for administrative violations against scientific & technology activities and technology transfer"*** *and* ***"Draft Decree guiding Technology Transfer Law"*** in the near future for thorough discussion on concerns we have, as well as to provide our members with proper knowledge of legal spirit, through that enhance their compliance with the laws.

Finally, we look forward MOST to considering and clarifying our concern before the Draft Decree comes into force.

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We would like to express our thank you and respectfully hope that MOST would support us onwards./.

Recipients:
- As above;
-Foreign Investment Agency (MPI)
- Embassy of Japan in Vietnam;
- The Japanese Business Association of Ho Chi Minh City;
- The Japan Business Association in Danang City
-Save in JBAV office

THE JAPAN BUSINESS ASSOCIATION IN VIETNAM

Chairman

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